



Open Source

A Panacea for the Recession

As the recession grips more economies and enterprises, it's the perfect time to adopt the open source business model. We explain why.

The technology landscape has been undergoing a massive transformation over the past couple of years. In the early 2000s, organisations were going after products and appliances irrationally, investing huge sums without any guarantees of a quantifiable ROI (return on investment). Today, awareness of technology has grown and organisations tend to demand a measurable ROI before adopting a new technology. Open source software has always been a good option to provide effective solutions within relatively low budgets. Not surprisingly, a number of organisations have started adopting open source software solutions. This trend has been boosted by the ongoing recession, with companies looking to cut costs.

Open source can mean big bucks!

The revenues of Red Hat grew by 14 per cent during the last economic bust in 2001-2002, which then increased to 38 per cent and 58 per cent in 2003 and 2004, respectively, demonstrating the increased usage of open source software during the economic crunch. Novell also showed interest in playing a significant role in the

open source software market in November 2003 by acquiring SUSE Linux for \$210 million. Last year, Sun Microsystems acquired MySQL AB, the developer of the world's most popular and fastest growing database, for \$1 billion. Writing open source software enables a company to gain access to the open community, which in turn helps in accelerating the pace at which an idea matures.

John Roberts, CEO and founder, SugarCRM, started his company in 2004 with a commercial open source concept. In one of his interviews given to Sramana Mitra, [www.sramanamitra.com/2008/12/11/5178/] in December 2008, he said, "I convinced two strong engineers at E.piphany to join me. We all resigned together and started SugarCRM without any angel or VC (venture capitalist) money. It was the three of us, each in his house with headphones on, writing and designing code and posting it up on SourceForge.net. We did that for three months. And soon enough, people all over the world started downloading the code." Early this year, SugarCRM joined hands with Tata Communications to make its software accessible to the Indian industry.